

Repealing the “Green New Scam”: Climate Retrenchment and Competitive Redistribution in a World of Green Industrial Policy

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Abstract

Over the past two decades, climate policy in major economies has shifted from market-based mechanisms toward green industrial policy—subsidies, tax incentives, and public investment designed to shape competitive advantage in global clean energy markets. This transformation has outpaced existing theories of international climate politics, which emphasize reciprocal cooperation or domestic distributional conflict but neglect how policy instruments structure international interdependence. Under green industrial policy, retrenchment by a major emitter redistributes competitive advantage across countries according to their position in global supply chains. We estimate an event study of the 2024 U.S. presidential election, interpreting changes in firm valuations as forward-looking indicators of cross-national effects. As predicted, U.S. green firms declined, Chinese competitors gained, and German firms, exposed to reduced U.S. demand, also declined. These findings suggest that international climate politics is increasingly organized around the geography of green production rather than collective action.

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1 Introduction

How does retrenchment by a major emitter shape the global political economy of climate policy? The dominant theoretical tradition in international relations approaches this question through the lens of collective action and reciprocity: climate cooperation is sustained when major emitters move in tandem, and retrenchment by one actor can trigger broader erosion of ambition ([Barrett 2003](#); [Keohane and Oppenheimer 2016](#); [Rowan 2025](#)). This framework reflects a model of climate governance centered on collective restraint, in which states coordinate to limit emissions and face incentives to defect when others abandon their commitments.

We argue that this framework no longer captures the structure of contemporary climate policymaking. Over the past fifteen years, the center of gravity has shifted away from market-based instruments such as carbon pricing and emissions trading and toward green industrial policy: subsidies, tax incentives, and public investment designed to expand domestic clean energy capacity ([Nemet 2019](#); [Nahm 2021](#); [Allan and Nahm 2025](#)). The U.S. Inflation Reduction Act, the European Green Deal, and large-scale state-led investment in China exemplify this transformation. Under this policy regime, climate action is organized less around coordinated restraint and more around the strategic promotion of firms competing in globally integrated markets. As a result, retrenchment is unlikely to uniformly undermine climate ambition as predicted by theories of reciprocity; instead, the effects of retrenchment will be heterogeneous, as it redistributes competitive advantage across countries, sectors, and firms.

This research note advances and tests a theory of competitive redistribution under green industrial policy. To motivate the analysis, we first document a stylized fact that has thus far been established primarily through qualitative and case-based evidence: a broad, cross-national shift in climate policy design away from market-based instruments and toward green industrial policy. Using text analysis of party platforms from the Com-

parative Manifesto Project, we trace how political actors describe and prioritize climate policy over time ([Lehmann et al. 2025](#)). This approach provides a measure of changes in the relative salience of competing policy paradigms without relying on noisy measures of policy adoption.¹

We then derive and test empirical implications of this transformation for international interdependence. When climate policy operates through industrial policy, retrenchment affects global markets by altering demand, investment, and expected returns in green sectors. This generates heterogeneous responses across countries and industries: firms that compete with producers in the retrenching state may benefit from the withdrawal of subsidized rivals, while firms dependent on that state as a deployment market may face declining demand. The effects of retrenchment therefore depend on how industries are positioned within global supply chains.

We test these predictions in the context of the 2024 U.S. presidential election. During the campaign, Donald Trump repeatedly signaled an intention to repeal or weaken the Inflation Reduction Act, which he deemed the “Green New Scam,” and curtail federal support for energy transition ([Trump Campaign 2024](#); [Friedman 2024](#)). His electoral victory thus constituted a credible signal of policy retrenchment by a major emitter within the contemporary industrial policy regime. We leverage this shift to examine how investors update expectations about the distribution of gains and losses across countries.

We estimate an event study of publicly traded green firms in the United States, China, and Germany—countries that occupy distinct positions in global green supply chains. Event studies have been widely-used in international relations as a means of assessing investor expectations following political events ([Wilf 2016](#); [Kucik and Pelc 2016](#)). Because firm valuations in these sectors are closely tied to public policy, stock market responses

¹We adopt party manifestos as our measure of the dominant climate policy paradigm in part because of challenges in the analysis of data relating to climate policies themselves. Data on climate policies are often incomplete and inconsistently coded ([Lieberman and Ross 2025](#)). Moreover, implemented policies provide only a partial view of the underlying paradigms shaping political competition ([Hall 1993](#)).

provide a forward-looking measure of how investors anticipate changes in competitive conditions ([Aklin 2018](#)). This design allows us to trace how expected retrenchment reallocates value across national industries.

Our findings are consistent with the predictions of competitive redistribution. Rather than a generalized decline, we observe a reallocation of value across countries that aligns with supply chain position: U.S. firms experience significant losses, Chinese firms, direct competitors in manufacturing, experience gains, and German firms with exposure to U.S. deployment demand also decline. The results are robust to a range of alternative specifications and falsification tests. Taken together, the evidence indicates that markets anticipate a reallocation of competitive advantage rather than a uniform retreat from climate policy.

These results contribute to the study of international climate politics in two ways. First, they show that the consequences of retrenchment depend on the policy instruments through which decarbonization is pursued ([Rodrik 2014](#); [Allan, Lewis and Oatley 2021](#)). Under green industrial policy, interdependence operates through market competition rather than reciprocal restraint. Second, they demonstrate that the effects of retrenchment are structured by supply chain position, with gains and losses distributed across countries according to their exposure to global green markets ([Cory, Lerner and Osgood 2021](#); [Allan and Nahm 2025](#)). The findings suggest that international climate politics is increasingly organized around the geography of production rather than the coordination of emissions reductions.

Our analysis relates most closely to [Aklin \(2018\)](#), who examines the effects of the 2016 U.S. presidential election on renewable energy firms. We build on this approach but focus on a period in which green industrial policy has become a central organizing feature of climate policy rather than an emerging component of the policy mix. This shift introduces a distinct mechanism—competitive redistribution—through which policy change in one country reshapes market conditions for firms elsewhere. Consistent with

this logic, we find evidence of heterogeneous effects across markets, in contrast to the uniformly negative market response documented in earlier periods.

More broadly, our argument complements a growing literature emphasizing domestic distributional conflict in climate politics ([Aklin and Urpelainen 2013](#); [Meckling et al. 2015](#)). While this work highlights the role of organized interests and sectoral coalitions, it emphasizes redistributive dynamics solely within the domestic economy. We show that these distributional conflicts are increasingly structured by international competition, as industrial policy links firm outcomes to policy choices abroad. In this setting, retrenchment by a major emitter reverberates through global production networks, reshaping domestic coalitions and policy incentives in other countries. Taken together, these findings suggest that climate politics in the era of green industrial policy is characterized less by reciprocal restraint than by the redistribution of advantage across interconnected national industries. As a result, retrenchment may weaken climate ambition in some contexts while strengthening it in others.

2 The Rise of Green Industrial Policy

Over the past two decades, the dominant paradigm of climate policy in major emitting states has undergone a transformation. Through the 1990s and into the 2000s, climate policy was primarily organized around market-based mechanisms—carbon taxes, emissions trading systems, and Kyoto-style cooperative frameworks designed to price externalities and enable least-cost abatement across borders ([Victor 2011](#)). More recently, this framing has given way to a different approach. Governments increasingly pursue decarbonization through green industrial policy: subsidies and tax incentives targeted at clean energy industries, public investment programs aimed at expanding domestic manufacturing capacity, and regulatory tools such as domestic content requirements that shape the geography of production ([Rodrik 2014](#)). The U.S. Inflation Reduction Act, the European

Green Deal, and large-scale state-led investment in renewable energy in China exemplify this shift. We provide systematic evidence that these developments reflect a broader, cross-national change in how political elites conceptualize climate policy.

Despite prominent academic and policy discourse on the rise of green industrial policy, systematic empirical evidence for such a shift remains limited. Existing work documents these developments primarily through qualitative case studies, policy reviews, or analyses of individual jurisdictions (Nemet 2019; Nahm 2021; Allan and Nahm 2025). Quantitative analyses, by contrast, typically rely on aggregate measures such as the density or stringency of policy portfolios, without distinguishing between policy paradigms (Botta and Kozluk 2014; Nachtigall and Rübbelke 2022). As a result, the literature provides limited leverage for assessing changes in the relative prominence of competing approaches over time.

To provide a simple measure of this shift, we turn to political manifestos, which capture how parties describe and prioritize alternative approaches to climate policy. We draw on data from the Comparative Manifesto Project (CMP), which codes party manifestos across a large set of democracies over time (Lehmann et al. 2025). We apply a keyword dictionary to identify quasi-sentences corresponding to three categories: market-based mechanisms (e.g., carbon pricing and emissions trading), green industrial policy (e.g., green investment, clean technology, and industrial support), and general discussion of climate change. Table A-1 reports the full dictionary. We restrict the sample to Annex I countries; results are similar when expanding to the full CMP sample.

Figure 1 plots the mean share of manifesto content devoted to each category across parties for election years between 2000 and 2024. Vertical lines mark three key moments in global climate policy: the Copenhagen COP15 negotiations (2009), the Paris Agreement (2015), and the passage of the Inflation Reduction Act and the European Green Deal (2022). Two patterns are immediately apparent. First, references to market-based mechanisms remain limited throughout the period: they increase modestly in the late

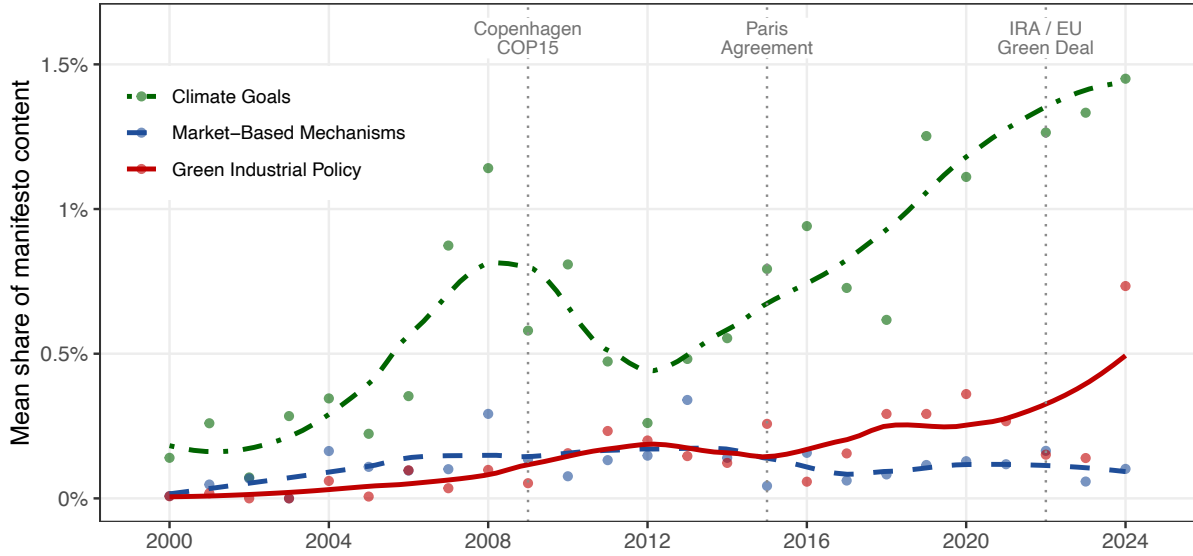


Figure 1: Mean Share of Political Manifestos Mentioning Climate Policy

Note: Mean share of quasi-sentences per manifesto mentioning each concept, averaged across manifestos by year. Quasi-sentences are scored using dictionary methods applied to Comparative Manifesto Project (CMP) English machine translations (DeepL); see Table A-1 for the full keyword list.

2000s, peak around Copenhagen, and then plateau before gradually declining, returning by the early 2020s to roughly their initial levels. Second, and more strikingly, references to green industrial policy emerge later but grow rapidly. Virtually absent prior to 2010, they rise steadily through the 2010s, accelerate after the Paris Agreement, and increase sharply following the policy expansions of the early 2020s. By 2024, green industrial policy language accounts for approximately 0.5 percent of mean manifesto content—more than four times the share devoted to market-based mechanisms.

Figure 2 unpacks these patterns at the country level, displaying for each country and election year the difference in manifesto share between green industrial policy and market-based mechanisms. Positive values (red) indicate that green industrial policy language exceeds market-based language, while negative values (blue) indicate the reverse. The figure reveals that the shift toward green industrial policy is both widespread and temporally concentrated. Across a broad set of Annex I democracies, including countries in Europe and North America, green industrial policy language becomes increasingly

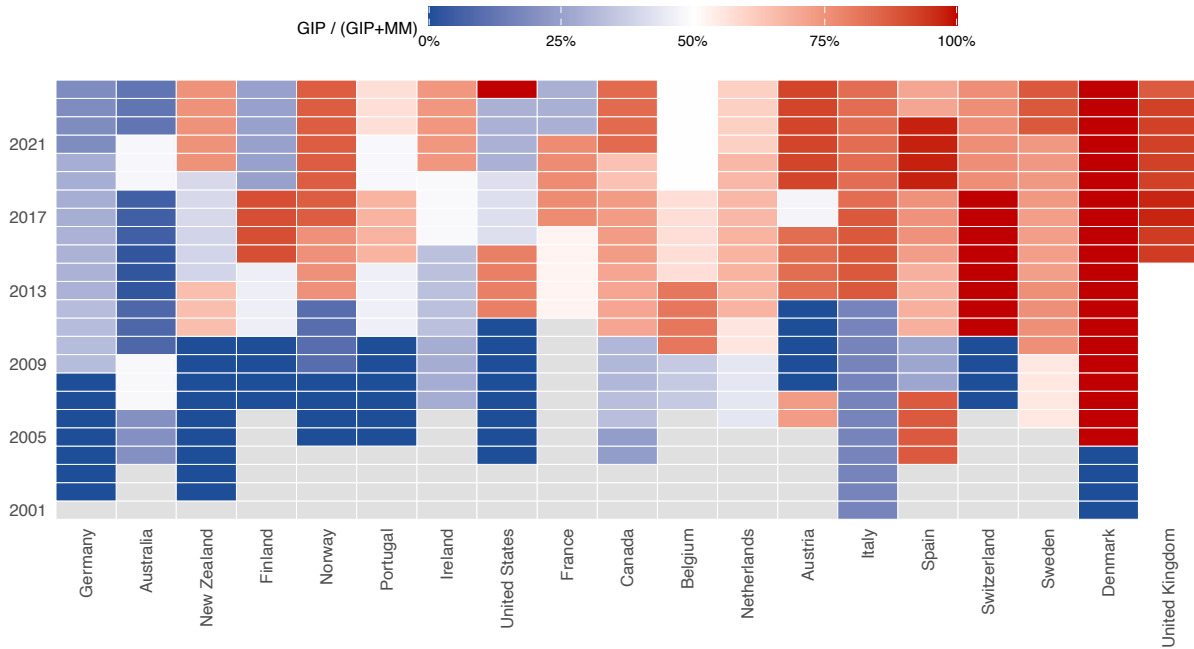


Figure 2: Share of Manifesto Language Devoted to Green Industrial Policy Versus Market Based Mechanisms

Note: Ratio of quasi-sentences mentioning green industrial policy versus market-based mechanisms, averaged across manifestos by country-year. Quasi-sentences are scored using dictionary methods applied to Comparative Manifesto Project (CMP) English machine translations (DeepL); see Table A-1 for the full keyword list.

dominant over time, with the transition accelerating after the mid-2010s.

This pattern is not confined to a small number of cases, but is evident across diverse party systems. Countries such as the United Kingdom, Canada, Sweden, and Italy exhibit a clear and sustained move toward green industrial policy dominance in recent election cycles. While there is variation in timing and magnitude, the overall trend is remarkably consistent: market-based language stagnates or recedes, while references to industrial policy expand and come to dominate climate discourse.

Finally, the examples in Table 1 provide qualitative support for these patterns, illustrating how parties across a wide ideological and geographic range—including the Canadian NDP, the New Zealand Green Party, and the Japanese Communist Party—have increasingly framed climate ambition in terms of green investment, technological development, and industrial deployment.

Table 1: Illustrative quasi-sentences from the Comparative Manifesto Project

Market-Based Mechanisms	Green Industrial Policy
<i>Australia, Labor Party (2007):</i> “If elected, I will implement a 60 per cent carbon target and establish Australia’s first national emissions trading scheme.”	<i>New Zealand, Green Party (2014):</i> “We can encourage higher private ownership of this smart green technology by adopting a clear deployment strategy for electric vehicles...”
<i>Japan, Liberal Democratic Party (2021):</i> “We will not hesitate to work on carbon pricing that contributes to growth, so as to strengthen the competitiveness of industries and promote innovation and investment.”	<i>Canada, New Democratic Party (2021):</i> “[This] will help bring more innovative Canadian clean technology to market and support Canadian manufacturing of batteries, energy storage solutions and alternative fuels like biofuels made from waste.”
<i>Germany, Free Democratic Party (2002):</i> “With comprehensive emissions trading, external costs of energy supply are elegantly taken into account in pricing and innovations are triggered.”	<i>United States, Democratic Party (2024):</i> “[The Inflation Reduction Act has] already attracted over \$400 billion in private sector commitments, to develop and manufacture solar, wind, battery, and other clean technologies here at home.”
<i>United Kingdom, Labour Party (2001):</i> “Britain is developing the first national CO ₂ emissions trading system in the world.”	<i>Japan, Japanese Communist Party (2021):</i> “The ‘Green Innovation Fund’ of 2 trillion yen will be made available not only to large corporations, but also to small and medium-sized enterprises...”

Note: Quasi-sentences reproduced from the Comparative Manifesto Project English machine translations (DeepL). Market-based mechanism sentences match terms including *carbon tax*, *emissions trading*, *carbon pricing*, and *Kyoto Protocol* mechanisms. Green industrial policy sentences match terms including *green jobs*, *green new deal*, *green economy*, *just transition*, and *green investment*. See Table A-1 for the full dictionary.

The shift documented here has fundamental implications for the structure of international climate politics—implications that existing theoretical frameworks are poorly equipped to address. Under market-based approaches, interdependence takes the form of a collective action problem: states have shared incentives to sustain ambitious pricing, and retrenchment by one actor undermines cooperation. Under green industrial policy, by contrast, interdependence operates through market competition. Subsidies, tax credits, and domestic content requirements reshape the competitive conditions faced by firms across countries, redistributing advantage within globally integrated industries.

This transformation raises a distinct theoretical problem: how does retrenchment propagate when climate policy is organized around competition rather than coordination? In the next section, we develop a framework that takes this competitive logic seriously, deriving predictions about how policy change by a major industrial policy actor affects firms and sectors across the global economy.

3 Climate Retrenchment and Competitive Redistribution

Existing work on international climate politics has largely emphasized either conditional cooperation or domestic distributional conflict. In the former, retrenchment by a major emitter undermines expectations of reciprocity and generates downward pressure on climate ambition ([Barrett 2003](#); [Keohane and Oppenheimer 2016](#); [Rowan 2025](#)). In the latter, policy outcomes reflect the balance of interests among domestic actors, with international developments entering indirectly through their effects on these coalitions ([Aklin and Mildenberger 2020](#); [Ross 2025](#)).² While these perspectives offer important insights, both are limited in their ability to account for how policy change in one country reshapes outcomes in others under a policy regime centered on green industrial policy.

We develop an alternative framework that centers on competitive redistribution within global green industries. When climate policy takes the form of green industrial policy, it directly shapes the competitive position of firms by altering costs, investment incentives, and market access. Retrenchment by a major actor does not simply reduce its own level of ambition; it reallocates advantage across firms embedded in global production networks. Firms that compete directly with producers in the retrenching state benefit from the withdrawal of subsidized rivals, while firms that depend on that state as a deployment

²[Colgan, Green and Hale \(2021\)](#) in contrast adopts a complementary perspective, examining how domestic distributional conflict can generate asymmetries in climate ambition across states.

market face declining demand. The effects of retrenchment are therefore heterogeneous and structured by firms’ positions within global supply chains.

This mechanism operates under specific conditions. It is most relevant when climate policy relies on industrial and market-shaping interventions—such as subsidies, tax credits, and domestic content requirements—and when production is organized through cross-border supply chains in tradable sectors. Under these conditions, policy changes in one country have direct implications for firms in others ([Kennard 2020](#)). By contrast, when climate policy operates primarily through market-based instruments such as carbon pricing, international effects are more likely to reflect changes in aggregate incentives rather than shifts in relative competitive position ([Kennard and Schnakenberg 2023](#)).

One place these dynamics become observable is in forward-looking expectations. Financial markets incorporate political information to update beliefs about future policy trajectories and their implications for firm profitability ([Bayer, Crippa and Genovese 2025](#); [Voeten 2025](#)). The responses we study therefore capture anticipated, rather than realized, redistribution of competitive advantage. This expectation-based channel is particularly important in the context of climate policy, where investment horizons are long and policy credibility is central to valuation.

The 2024 U.S. presidential election provides a direct test of these theoretical expectations. Donald Trump’s campaign centered on repealing the Inflation Reduction Act, the signature U.S. green industrial policy that had channeled substantial subsidies and tax incentives toward clean energy manufacturing and deployment ([Trump Campaign 2024](#)). His election thus constituted a credible signal of retrenchment by a major actor in global green industrial competition. We examine how this shock affected green firms in countries that occupy distinct positions within global supply chains, namely the United States, China, and Germany.

The theory generates clear empirical expectations. For U.S. firms, anticipated retrenchment should reduce expected profitability through the withdrawal of state support.

For Chinese firms, which compete directly with U.S. producers in global manufacturing, retrenchment removes a subsidized rival and should generate positive abnormal returns. For German firms, whose exposure to the U.S. is mediated more through deployment demand than direct competition, retrenchment should reduce expected demand, yielding negative but more heterogeneous effects.

4 Data and Methods

We employ an event study framework to estimate the effect of the 2024 U.S. presidential election on investor expectations about the future performance of green firms. Abnormal stock returns—the difference between realized returns and returns predicted by a market model estimated prior to the event—capture shifts in market beliefs about firm profitability attributable to the information conveyed by the election outcome ([Kothari and Warner 2008](#)). Given Trump’s repeated commitments to repeal the Inflation Reduction Act, this design allows us to assess how markets respond to anticipated retrenchment in U.S. green industrial policy.

We obtain daily stock price data from Compustat Global and Compustat North America via Wharton Research Data Services, covering the six months prior to the election through December 31, 2024. Our sample includes firms listed on the New York Stock Exchange and NASDAQ in the United States, the Shanghai and Shenzhen Stock Exchanges in China, and the Frankfurt Stock Exchange in Germany. To identify firms exposed to climate and industrial policy, we use Bloomberg Industry Classification System (BICS) sector labels, supplemented by classifications from the LSEG/Refinitiv Thomson Reuters Business Classification (TRBC) system.

We organize firms into four sectors. The solar sector encompasses the photovoltaic supply chain, including polysilicon, wafers, modules, inverters, and plant construction. The wind sector includes turbine manufacturers and component suppliers. The infras-

Table 2: Sample Firms by Sector and Country

	China	Germany	United States	Total
Solar	36	2	10	48
Wind	10	2	1	13
Infrastructure	36	9	24	69
Electric Vehicles	4	0	6	10
Total	86	13	41	140

structure sector combines energy storage, grid equipment, fuel cells, and related enabling technologies; we aggregate these categories because individually they contain too few publicly listed firms, particularly in Germany, to support reliable estimation. The electric vehicles sector includes firms primarily engaged in EV production. We exclude fossil fuel producers, firms for which renewable energy is incidental to their core business, and electricity generators and project operators, whose valuations are driven by electricity market conditions rather than equipment manufacturing.³ The final sample comprises 140 firms. Table 2 reports the distribution of firms by sector and country. China dominates solar manufacturing and accounts for the majority of firms across all sectors, while German firms are concentrated in infrastructure and wind equipment.

We model each firm’s daily log returns, computed as first differences of log closing prices, using the Fama–French three-factor model (Fama and French 1993). For firm i in country c on day t , the estimating equation is:

$$R_{it} = \beta_0 + \beta_1 RM_{ct} + \beta_2 SMB_{ct} + \beta_3 HML_{ct} + \varepsilon_{it}.$$

Here, RM_{ct} denotes the market return, SMB_{ct} the size premium, and HML_{ct} the value premium. We use country-specific factor series (U.S., Europe, and emerging markets) from Kenneth French’s data library to account for systematic differences in risk across contexts.⁴

³Six firms were excluded after manual review of business descriptions. Appendix section A2 provides full details of the sample construction.

⁴American and European factors are available daily. Emerging market factors, used for Chinese firms,

The baseline estimation window spans 180 calendar days prior to the election, excluding the five days immediately preceding it. We estimate firm-specific factor models over this window and use them to generate predicted returns during the event window. Abnormal returns are defined as the difference between realized and predicted returns, and we aggregate these into cumulative abnormal returns (CARs) over two-, three-, and five-day windows following the election. Our main results focus on the two-day specification.⁵

We aggregate firm-level CARs using inverse-variance-weighted (IVW) regression, which places less weight on firms with imprecisely estimated abnormal returns. Our baseline specification estimates average abnormal returns by country, and we additionally report results by country–sector combinations. All estimates use heteroskedasticity-robust standard errors.

A potential concern is that pre-election polling and prediction markets may have led investors to partially anticipate the outcome, attenuating observed price movements on election day. Trump’s win probability rose substantially in October 2024, suggesting that some information may have been incorporated into prices in advance. We address this in two ways. First, we exclude the five days prior to the election from the estimation window to avoid contaminating pre-treatment return estimates. Second, we present a robustness specification excluding the 20 days prior to the election, covering the period of most rapid updating in prediction markets. Results are stable across these specifications, indicating that anticipation effects do not drive our findings.

Finally, we note an important limitation of the empirical setting. Our analysis is restricted to publicly listed green firms in three countries, which represent only a subset of the broader green economy. The results should therefore be interpreted as capturing

are available monthly; we assign monthly values to each trading day within the corresponding month as is standard.

⁵We focus on a two-day event window because election outcomes are revealed on a rolling basis throughout election day, with many results finalized only after markets close. This implies that the full informational content of the result is incorporated into prices on the subsequent trading day. This choice is standard in event studies with staggered information release ([MacKinlay 1997](#); [Kothari and Warner 2008](#)).

investor expectations for a particular segment of the sector rather than the full universe of firms. This constraint is more pronounced in sector-level analyses, where sample sizes are small, especially for Germany and for sectors such as electric vehicles. While statistical power is limited in these cases, point estimates are consistently aligned with theoretical expectations. We interpret this pattern as reflecting limited statistical power rather than the absence of underlying effects. In specifications where estimates are sufficiently precise, they conform closely to our theoretical expectations, while less precisely estimated effects are directionally consistent with these predictions.

5 Results

Figure 3 presents the main results. The left panel displays mean Fama-French cumulative abnormal returns (CARs) over the two days immediately following the election for green firms in each of the three countries; the right panel reports the corresponding pairwise differences relative to the United States.

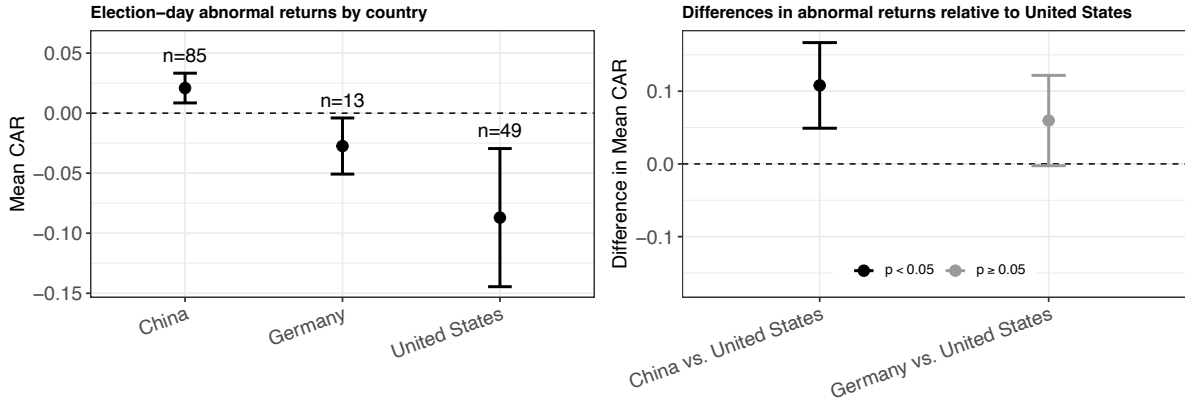


Figure 3: Impacts of 2024 Presidential Election on Green Firms

Note: Mean country-level abnormal returns with 95% confidence intervals using inverse-variance-weighted regression and heteroskedasticity-robust standard errors. Firm-level abnormal returns obtained with a three-factor Fama-French model.

The patterns shown in the figure are consistent with competitive redistribution rather

than uniform global retrenchment. Green firms listed in the United States experienced a large and statistically significant decline in value. Across U.S. firms in our sample, the estimated mean two-day CAR is -8.7 percentage points. This represents a substantial downward revision in investor expectations of future profitability, consistent with anticipated rollback of the Inflation Reduction Act and reduced federal support for clean energy.

The response of Chinese firms stands in contrast. Across Chinese firms in our sample, the estimated mean CAR is 2.1 percentage points. Investors appear to have interpreted the election outcome as improving the expected competitive position of Chinese green producers. The estimated gap between Chinese and U.S. firms is 10.8 percentage points, which is both economically large and precisely estimated. This pattern is consistent with a mechanism in which U.S. retrenchment relaxes competitive pressure from subsidized American firms, benefiting foreign producers already positioned in global manufacturing segments.

German firms also experienced negative returns following the election. The mean CAR is -2.7 percentage points, a statistically significant decline. The estimated gap relative to U.S. firms, 6 percentage points, is directionally consistent with expectations but falls short of conventional significance thresholds. Given the small number of German firms in the sample, these estimates are imprecise. Nevertheless, the pattern is consistent with Germany’s intermediate position in global supply chains: German firms are exposed to U.S. deployment demand, implying losses from retrenchment, but may also benefit in some segments from reduced U.S. competition.

Figure 4 disaggregates these patterns by sector: solar, wind, infrastructure, and electric vehicles. As the number of observations declines at this level of disaggregation, many estimates are imprecise. Nonetheless, the directional patterns remain consistent with the mechanism of competitive redistribution.

The China–U.S. gap is largest and most precisely estimated in the solar sector, where

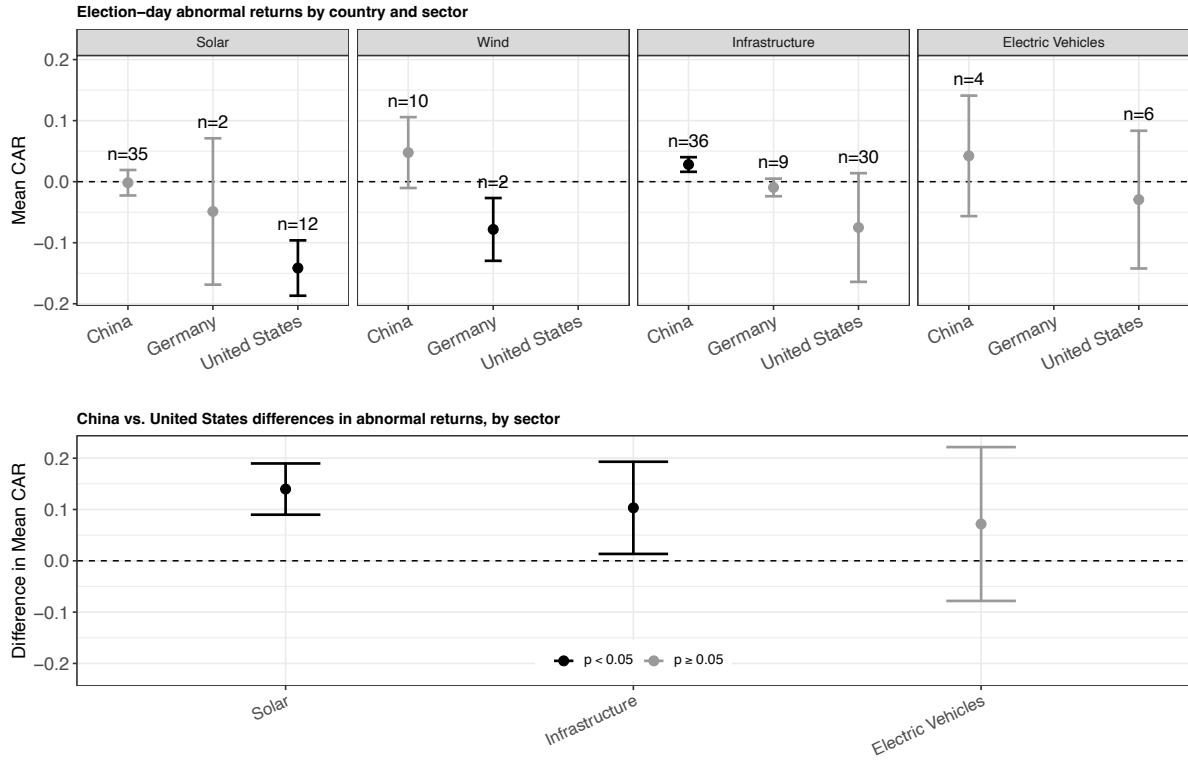


Figure 4: Cumulative Abnormal Returns by Country-Sector

Note: Mean country-sector-level abnormal returns with 95% confidence intervals using inverse-variance-weighted regression and heteroskedasticity-robust standard errors. Firm-level abnormal returns obtained with a three-factor Fama-French model.

Chinese firms outperform U.S. firms by 14.0 percentage points. Given China's dominant position in photovoltaic manufacturing and the importance of U.S. policy support for solar deployment, this result is consistent with investors anticipating a substantial competitive shift toward Chinese producers. A similarly large gap appears in the infrastructure sector (10.3 percentage points), suggesting that these dynamics extend beyond panel manufacturing to broader supply chain components. Estimates for electric vehicles are positive but imprecise, reflecting limited sample size rather than a qualitatively different pattern.

Figure 5 presents firm-level CARs ranked within each country. The distribution of returns reinforces the aggregate results while highlighting within-country variation. Among U.S. firms, the distribution is strongly skewed negative: most firms experience substantial losses, with some recording CARs between -30 and -50 percentage points. Only a

small number of firms—primarily in infrastructure—show positive returns. Overall, the response is broadly negative across the U.S. green sector, indicating that investors did not anticipate offsetting gains in other segments.

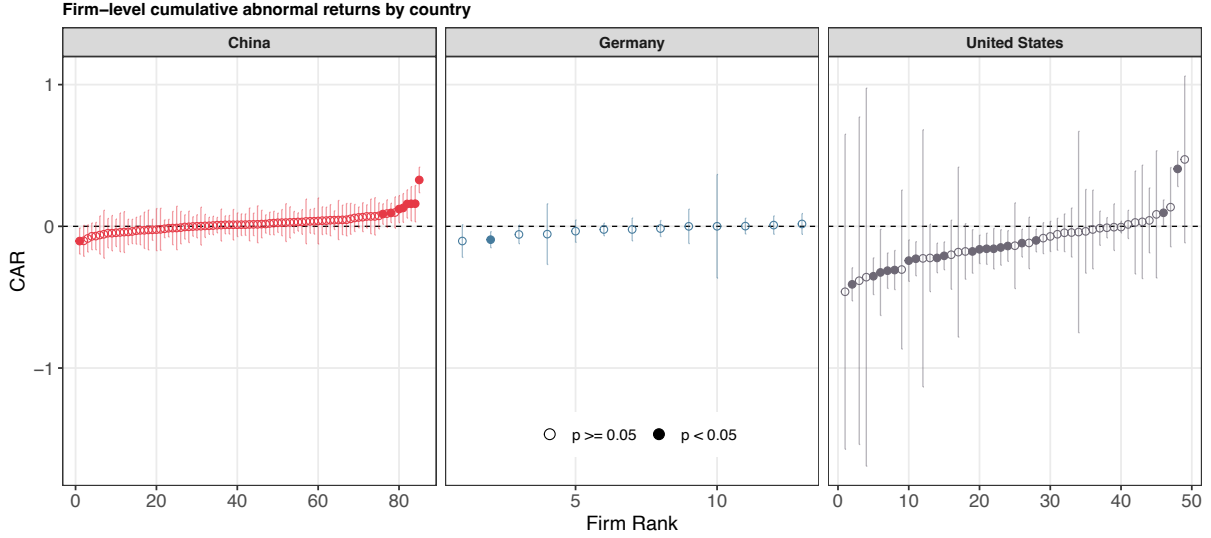


Figure 5: Firm-Level Abnormal Returns

Note: Firm-level abnormal returns with 95% confidence intervals obtained with a three-factor Fama-French model.

Among Chinese firms, the distribution is centered near zero with a pronounced right tail, including firms with gains of 10 to 30 percentage points. The positive average effect is thus not driven by a small number of outliers but reflects a broad upward revision in expectations. German firms exhibit smaller and generally imprecise responses, consistent with the aggregate results.

We conduct a series of robustness checks, reported in the appendix (Figures A-1 through A-6 and Tables A-2 through A-12). Our baseline specification uses a 180-day estimation window, excluding the five days immediately prior to the election. We also estimate models using shorter windows of sixty and thirty days, as well as a specification excluding the twenty days prior to the election to address potential anticipation effects.⁶ In addition, we estimate a standard market model using country-specific indices (S&P

⁶Shorter estimation windows increase the variance of the Chinese estimates in particular, as Fama-French emerging market factors are available only at monthly frequency.

500, DAX 40, and CSI 300) in place of Fama-French factors. Finally, we implement placebo tests by assigning pseudo-event dates thirty and sixty days prior to the election and re-estimating the full model using non-overlapping estimation windows. Across all specifications, results are stable and directionally consistent with the main findings.

6 Conclusion

This paper studies the impact of the 2024 U.S. presidential election on green firm valuations in the United States, China, and Germany. Our findings are inconsistent with the dominant framework of conditional cooperation, which predicts uniform downward pressure on green investment expectations following major-emitter retrenchment. They are also inconsistent with accounts of political lock-in, which would predict resilience in U.S. green firm valuations, and with theories that locate the consequences of climate policy primarily in domestic distributional conflict. Instead, we find a pattern of competitive redistribution: U.S. green firms suffered sharp losses, Chinese green firms experienced gains, and German green firms declined—a cross-national pattern that maps onto each country’s competitive position relative to the retrenching state.

We situate these findings within a broader transformation in climate policy. Using party manifesto data from the Comparative Manifesto Project, we document a systematic shift in how climate action is articulated, away from market-based mechanisms and toward green industrial policy. This shift is not only evident in policy adoption but in the language through which parties define climate ambition. Our event study results are consistent with this transformation: when climate policy is organized around industrial support and market shaping, retrenchment does not simply reduce aggregate ambition but redistributes expected advantage across firms embedded in global supply chains.

These findings contribute to scholarship on international climate politics in two ways. First, they demonstrate that the consequences of retrenchment depend on the policy in-

struments through which decarbonization is pursued. Under a regime centered on green industrial policy, interdependence operates through competition in globally integrated markets rather than through reciprocal restraint. Second, they highlight the limits of purely domestic accounts of climate politics. The cross-national variation in firm responses cannot be explained by theories that treat international shocks as external to domestic political equilibria; instead, it reflects the international redistribution of competitive advantage across firms and sectors.

The broader implication is that the political economy of climate change in the current era is not simply a scaled-up version of the cooperative or distributional logics emphasized in prior scholarship. As green industrial policy becomes the dominant mode of decarbonization across major economies, international climate politics increasingly takes the form of competition over market share, industrial location, and the distribution of rents from the clean energy transition. These dynamics will shape not only firm valuations but also the evolution of political coalitions and state strategies, with implications for the pace, geography, and durability of global decarbonization.

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